

06 Jul 2026 21:20:45 ET | 11 pages

Samsung Electronics (005930.KS)

Solid Performance on Memory Growth Despite Bonus Provisions

CITI'S TAKE

Samsung Electronics (SEC) announced preliminary 2Q26 OP guidance of W89.4tr (+56% QoQ/+1,812% YoY), driven by strong memory earnings despite bonus provisions. We project SEC's 2Q26E divisional OP breakdown to be: Semi W88.4tr, Display W0.5tr, Mobile W0.3tr, CE W0.06tr, and Others W0.15tr.

Prelim 2Q26 OP of W89.4tr — Samsung reported preliminary 2Q26 OP of W89.4tr (+56% QoQ/+1,812% YoY) driven by solid memory earnings growth, offsetting the impact of employee bonus provisions of which we estimate W17.2tr was reflected in the quarter. While details will be disclosed at the 2Q26 earnings call on 30 July, we expect 2Q semi OP to have improved to W88.4tr in 2Q26E from W53.7tr in 1Q26. 2Q26E Display OP recorded W0.5tr and mobile OP recorded W0.3tr. Although its smartphone shipment increased +5% QoQ to 62mn in 2Q26E (from 59mn in 1Q26), the mobile OP declined due to cost burden from component price hikes.

Key Points of Discussion to Focus on in 2Q26 Earnings Call — The key discussion points in 2Q26 earnings call will be: [1] the degree of earnings impact from bonus provisions, [2] global memory supply & demand outlook for 2H26 & 2027E, and [3] Further details or progress on memory LTA.

Samsung's 2H26E Direction — While memory remains as a key AI bottleneck, we believe Samsung Electronics, with the largest DRAM/NAND capacity will benefit from strong AI CPU demand which will continue to push the server DRAM price upward in 2H26E. In terms of technology leadership, we expect Samsung will continue to regain HBM4 leadership and Samsung foundry is targeting a rebound driven by the increasing number of AI chip projects and partnerships with US tech companies.

Memory Customization to Drive Structural Growth; A Unique Turn-key Solution Provider – We continue to project memory customization to drive secular growth in memory demand, thus we expect the memory shortage to intensify and be extended further in the long-term horizon. We further believe Samsung is well positioned as an end-to-end AI turnkey solution provider. Its integrated AI chip strategy spans the full value chain: the system LSI division collaborates with end customers on AI chip design, Samsung foundry oversees manufacturing, and the memory division supplies HBM, and the foundry will handle final back-end packaging. With the strong synergy potential, we remain constructive on Samsung Electronics.

Buy

Catalyst Watch: Upside, expires 10-AUG-26

Price (06 Jul 26 15:45)	W318,000
Target price	W530,000
Expected share price return	66.7%
Expected dividend yield	0.5%
Expected total return	67.2%
Market Cap	W1,859,116,597M US\$1,215,665M

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See Appendix A-1 for Analyst Certification, Important Disclosures and Research Analyst Affiliations

Bull/Bear: Samsung Electronics

W 580,000
▲82% Upside

W 530,000
▲67% Upside

W 230,000
▼28% Downside



Spread 110pp
Current Price and expected returns (upside/downside) as of 06 Jul 2026

BULL Assumptions

- DRAM/NAND ASP +350%/+350% in 2026E
- Smartphone ASP +30% in 2026E

BASE Assumptions

- DRAM/NAND ASP +295%/+296% in 2026E
- Smartphone ASP +24% in 2026E

BEAR Assumptions

- DRAM/NAND ASP +200%/+200% in 2026E
- Smartphone ASP +15% in 2026E

Samsung Electronics

Valuation

Our 12-month target price for Samsung of W530,000 is derived using a sum-of-the-parts (SOTP) methodology, based on 2026E EBITDA. In calculating total operating value, we reference global peers in assigning fair-value EV/EBITDA multiples for the five main divisions (7.6x for Memory, 4.1x for Foundry, 0.5x for Display Panel, 4.8x for Mobile and 2.0x for Consumer Electronics), in line with trading multiples of relevant peer companies.

Risks

Downside risks that could prevent the shares from reaching our target price include: 1) Longer-than-expected approval delay in HBM shipment to its key customers; 2) PC sales weaken more than our forecast and NAND demand fails to meet our expectations; 3) aggressive investment by competitors in memory semiconductor/foundry could have a negative impact on prices; 4) competition in the handset market intensifies, reducing SEC's handset margins; 5) any major appreciation of the won would impact SEC's earnings.

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Appendix A-1

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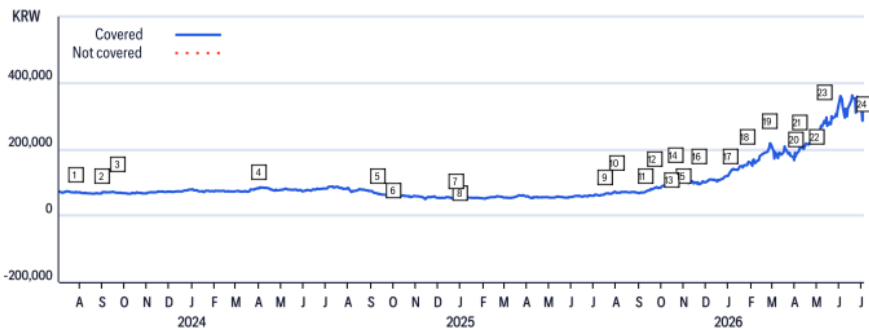
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IMPORTANT DISCLOSURES

Samsung Electronics (005930.KS)

Ratings and Target Price History
Fundamental Research

Analyst: Peter Lee



Date	Rating	Target Price	Closing Price
1 27-Jul-23 05:53:47	1	*110,000.00	71,700.00
2 31-Aug-23 06:54:46	1	*120,000.00	66,900.00
3 22-Sep-23 09:53:22	1	*110,000.00	68,800.00
4 01-Apr-24 05:23:20	1	*120,000.00	82,000.00
5 09-Sep-24 02:31:35	1	*110,000.00	67,500.00
6 02-Oct-24 05:16:51	1	*97,000.00	61,300.00
7 26-Dec-24 07:42:50	1	*87,000.00	53,600.00
8 31-Dec-24 06:21:22	1	*83,000.00	53,200.00

Date	Rating	Target Price	Closing Price
9 16-Jul-25 05:08:04	1	*90,000.00	64,700.00
10 31-Jul-25 02:49:57	1	*100,000.00	71,400.00
11 08-Sep-25 09:30:31	1	*110,000.00	70,100.00
12 22-Sep-25 05:57:03	1	*120,000.00	83,500.00
13 14-Oct-25 07:05:40	1	*133,000.00	91,600.00
14 20-Oct-25 06:25:10	1	*145,000.00	98,100.00
15 30-Oct-25 11:44:04	1	*150,000.00	104,100.00
16 23-Nov-25 10:07:18	1	*170,000.00	94,800.00

Date	Rating	Target Price	Closing Price
17 02-Jan-26 02:41:08	1	*200,000.00	128,500.00
18 26-Jan-26 09:32:20	1	*240,000.00	152,100.00
19 24-Feb-26 05:11:17	1	*280,000.00	200,000.00
20 02-Apr-26 07:54:27	1	*300,000.00	178,400.00
21 07-Apr-26 02:31:16	1	*320,000.00	196,500.00
22 30-Apr-26 03:49:59	1	*300,000.00	220,500.00
23 11-May-26 07:42:55	1	*460,000.00	285,500.00
24 02-Jul-26 03:16:27	1	*530,000.00	286,000.00

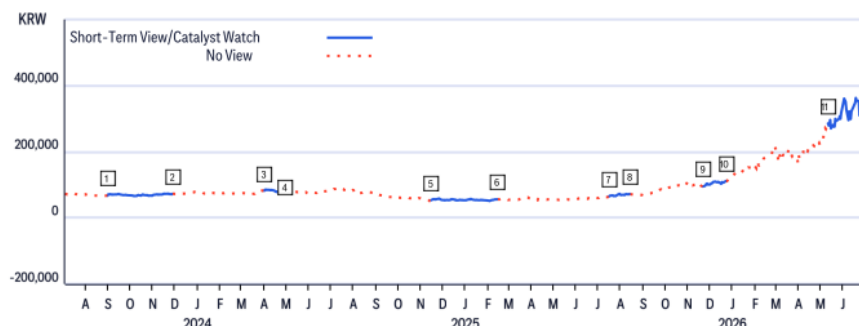
*Indicates Change

Rating/target price changes above reflect Eastern Time

Samsung Electronics (005930.KS)

Short-Term View/Catalyst Watch Research

Analyst: Peter Lee



	Date	Action	Expected Direction	Duration	Closing Price
1	31-Aug-23 02:54:46	Add CW	Upside	90 Days	66,900.00
2	28-Nov-23 21:19:48	Remove CW	Upside	90 Days	72,700.00
3	01-Apr-24 01:23:20	Add CW	Upside	30 Days	82,000.00
4	30-Apr-24 22:52:33	Remove CW	Upside	30 Days	77,500.00
5	17-Nov-24 11:09:02	Add CW	Upside	90 Days	53,500.00
6	14-Feb-25 12:17:17	Remove CW	Upside	90 Days	56,000.00
7	16-Jul-25 01:08:04	Add CW	Upside	30 Days	64,700.00
8	15-Aug-25 14:07:20	Remove CW	Upside	30 Days	71,600.00
9	23-Nov-25 05:07:18	Add CW	Upside	30 Days	94,800.00
10	23-Dec-25 20:51:38	Remove CW	Upside	30 Days	111,500.00
11	11-May-26 03:42:55	Add CW	Upside	90 Days	285,500.00

CW - Catalyst Watch, STV - Short-Term View

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Data current as of 01 Jul 2026	12 Month Rating			Catalyst Watch		
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% of companies in each rating category that are investment banking clients	38%	42%	27%	42%	37%	36%
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